

# **Roles of Financial Institutions in Economic Development in Pakistan**

## **Financial Institutions:**

Financial institutions refer to organizations that provide financial services to individuals, businesses, and governments. These services include lending, borrowing, investing, and managing financial risks. Examples of financial institutions include banks, credit unions, insurance companies, and stock brokerages.

## **Economic Development:**

Economic development, refers to the process of improving the economic well-being and living standards of a country or region through sustained economic growth, industrialization, and technological advancement. It involves creating an environment that fosters entrepreneurship, innovation, investment, and job creation, leading to increased productivity and competitiveness.

## **Roles of Financial Institutions in Economic development in Pakistan:**

Financial institutions play a crucial role in promoting economic development by providing financial resources and services to various sectors of the economy, including credit, savings, investment, and risk management. Willingly available loans encourage consumer spending, and this spending leads to economic development. There is now a clear realization that sustainable growth will not and cannot be achieved by governments acting alone.

### **1. Development & Introduction of Niche strategies**

Financial institutions help different sectors of a country, especially small, specialized industries. They share knowledge about financial products to make sure the economy grows in a healthy way. For example, Union Bank introduced a program called 'RAAS Financing Scheme' in 2003 to help small businesses in the surgical industry in Gujranwala. This program made it easier for these businesses to get financial help. SME Bank also introduced a program called Express Loan Scheme for small, specialized industries in 2004-2005.

### **2. Motivating the Financial Sector:**

Financial institutions usually only use their resources to make profits for themselves. They do this directly or indirectly by helping other businesses make profits. This is important because when institutions develop, it leads to more investment in the country. With more institutions, there is more motivation to do well in the financial industry and take steps to make the country financially stronger. This leads to prosperity for the country by reducing risk.

### **3. Financing the Small Scale Sector:**

Credit is the key input for sustained growth of small scale sector and its availability is thus a matter of great importance. The provision of short term credit or working capital to small businesses for its day to day requirement for purchasing raw material and other inputs like water, electricity, etc. and for payment of salaries and wages; and long term credit for creation of fixed assets like building, land, plant and machinery help the SME sector to perform financially better to boost the economic development.

### **4. Development and Support Services:**

With the existence of different organizations development and support services in the form of grants and loans to different agencies working for the promotion and development of industries like associations, chambers are available. The core example of import of thermos bonded machines for the production of thermos bonded footballs is possible with the help of banks in Sialkot. Other support was observed in rural development, technology up-gradation, human resource development, and marketing & promotion in the country.

### **5. Micro Finance Credit:**

With the expansion of different institutions like KHUSHALI Bank, Tameer Micro finance, First Microfinance Bank etc. Micro Credit is offered to the poorest sector of country. This active step to facilitate growth of the micro finance sector in country is very commendable. It is envisaged to emerge as the apex community by providing a broad range of financial and non-financial services such as grant support, loan funds, equity and institution building support.

### **6. Introduction of more Institutions:**

Financial institutions and banks play a big role in the economy. They help people and businesses get the credit they need. In recent years, many economies have grown by using credit well. A good banking system should provide high amounts of capital for big projects, like industrial, infrastructure, and service projects. It should also provide credit for medium and small projects, so they can grow and expand. Farmers in countries like India and Pakistan need cheap credit to help their farms grow. This will help more financial institutions come to the country.

#### **7. Trade Facilitation Programme:**

Trade Facilitation Programme aims to foster trade in the countries of operations, both inter-regional and global. Through the programme, institutions provide promises to confirming banks, taking the political and commercial payment risk of international trade transactions take on by banks in the countries of operations. This pioneering programme remains an important source of trade finance in many of countries of operations.

#### **8. Availability of Financial services to households & individuals:**

Financial institutions provide financial services to households and individuals, which helps them buy goods and services and improve their living standards. This is important because individuals have a big impact on the environment, and financial institutions can help them make better choices by offering affordable loans and other financial arrangements. For example, mortgage loans make it easier for people to buy homes, and car loans and hire purchase options make it easier for people to buy cars. Without these financial arrangements, some products might not sell well because they are too expensive.

#### **9. Capital mobilization:**

Capital mobilization is commonly one of the most necessary conditions for economic development. The role played by Financial Institutions in the process of financial integration in developing countries is very important. With the help of this channel advantage of integration materialized. With the help of capital mobilization capacity building, good governance and economic reforms can easily be achieved.

#### **10. Insurance and financial services:**

Financial institutions are supporting a wide range of financial services to help expand local capital markets and develop local financial infrastructure. In 2002-2008 there was a strong focus on leasing transactions and investment with new commitments made to insurance corporations; a pension funds etc. in Pakistan. The Bank also contributed in a number of structured finance transactions, encouraging the use of capital market products in the area. Development in this sector will continue as demand for more diverse financial services rises and as improved legislation provides the essential infrastructure for financial sector development.

**11.Achievement of Growth:**

Developed financial systems allow economies to reach their potential since they allow companies which have successfully recognized profitable opportunities to exploit these opportunities as intermediaries by channeling investment funds from those in the economy who are prepared to defer their consumption plans into the future. Achievement of development in country becomes easy with introduction of financial institutions. Different steps of financial development require adequate institutional procedures to be in place.

**12.Tailor made schemes:**

With the help of different institutes several tailor made schemes for the improvement of economic sector of the country are available at door steps. Introduction of country wide schemes cannot give projected growth. As discussed previous RAAS Financing Scheme, Green tractor scheme, Express loan, Yellow Cap Scheme etc. showed extensive results for the improvement of growth in the country.